tools to execute and process SBS transactions more efficiently.[1004] In light of the above, the adopted approach is preferable to the alternative.

4. Harmonize with CFTC's STP Requirements

In connection with Proposed Rule 823, several commenters recommend that the Commission harmonize with CFTC's STP requirements by establishing STP standards, incorporating relevant CFTC guidance, and prohibiting breakage agreements for SBS that are intended to be cleared.[1005] The commenters suggest the alternative could reduce market, credit, and operational risks; facilitate hedging activity; avoid complexity and costs; increase competition; promote trading on SBSEFs and electronic trading; and increase transparency, liquidity, and fairness in the SBS markets.[1006] The Commission acknowledges that the alternative could have beneficial effects as suggested by the commenters. However, the alternative raises several concerns. First, if, in the future, the CFTC's staff guidance were to be modified, the regulatory regime for SEFs might differ from that for SBSEFs. This in turn could limit harmonization with the CFTC's regulatory regime and potentially increase compliance burdens for market participants if they have to comply with different requirements for SEFs and SBSEFs. Second, the timeframes for a clearinghouse to accept or reject a trade for clearing set forth in the CFTC staff guidance could become outdated with advances in technology.[1007] If that were to

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1004 *See supra* section XVII.C.1 (discussing improved automation as an overarching benefit of the rules and amendments).

1005 *See* Citadel Letter, *supra* note 18, at 6; MFA Letter, *supra* note 18, at 11–12; SIFMA AMG Letter, *supra* note 18, at 9.

1006 *See* Citadel Letter, *supra* note 18, at 5; MFA Letter, *supra* note 18, at 12; SIFMA AMG Letter, *supra* note 18, at 9.

1007 CFTC staff guidance on STP states that "[derivatives clearing organizations] clearing swaps that are executed competitively on or subject to the rules of a … SEF and are accepting or rejecting trades within 10 seconds after submission are compliant with the timing standard of Regulation 39.12(b)(7)." *See* CFTC 2013 STP Guidance, supra note 273.

occur, changing those timeframes would be more difficult if they were included as part of Regulation SE, or even as Commission guidance included as part of this release. Any delays in changing those timeframes could mean that market participants would not be able to benefit from any reductions in market, credit, and operational risks associated with the technological advances that render obsolete the timeframes set forth in the CFTC staff guidance.

The adopted approach may nevertheless generate the beneficial effects suggested by the commenters. As discussed in section VI.F.3, Rule 823(c) is broad enough to permit market participants to use the same practices that they are using pursuant to the CFTC guidance. Consistent with the Commission's belief that prospective SBSEF registrants are likely to be CFTC-registered SEFs that are active in the index CDS market,[1008] prospective SBSEF registrants likely will use the systems, policies, and procedures that were created to comply with the CFTC guidance to comply with Rule 823(c) in order to limit their compliance burdens. Further, to comply with the impartial access requirements of Rule 819(c), registered SBSEFs would, among other things, avoid acts that purposefully delay clearing submission in order to favor certain market participants over others. Lastly, the Commission is adopting Rule 815(g), which specifies that SBSEFs shall establish and enforce rules that provide that a security-based swap that is intended to be cleared at the time of the transaction, but is not accepted for clearing at a registered clearing agency, shall be void *ab initio.* This rule would obviate the need for breakage agreements for SBS that are intended to be cleared. Accordingly, the adopted approach is preferable to the alternative.

[1008] *See supra* section XVII.B.

5. No Block Trade Exception

In finalizing Regulation SE, the Commission considered the alternative of not adopting a block trade exception from the Required Transaction requirement in Rule 815(a)(2) for credit SBS. This alternative could extend the benefits of increased pre-trade transparency[1009] to SBS transactions of a larger notional size. However, this alternative would deviate from the CFTC's approach to block trades and thus reduce harmonization with the CFTC regime for swaps. In addition, as one commenter expressed, under this alternative, market participants would have difficulty executing, or would be unable to execute, large bona fide trades, since they would be required to do so only through the order book. This would increase the cost of trading and hedging, the commenter says, which could reduce participation in certain markets, resulting in less liquidity and increased volatility.[1010] This commenter asserts that exempting block trades from order book and RFQ execution requirements is critical to the functioning of the SBS markets, particularly to execute large trades without affecting price.[1011] Another commenter states that the proposed exception for block trades would provide flexibility for market participants executing SBS transactions of a significantly large size and mitigate the risks of information leakage and impairment of market liquidity.[1012] Another commenter agrees with the Proposing Release's assessment that the block exception to the required methods of execution balances the promotion of price competition and all-to-all trading against the potential costs to

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1009 *See supra* section XVII.C.1 (discussing that increased pre-trade transparency could increase price competition and price efficiency; improve liquidity; reduce transaction costs; and facilitate execution quality analysis).

1010 *See* MFA Letter, *supra* note 18, at 5–6.

1011 *Id.*

1012 *See* ICI Letter, *supra* note 18, at 10.

the market participants who wish to trade large orders, the importance of which they note is more acute in the SBS market, which is a smaller and less liquid market than the swap market.[1013]

The Commission agrees with commenters that a block-trade exception is appropriate for credit SBS, not only to maintain harmonization with the CFTC regime for swaps but also to facilitate trading of credit SBS. This approach, which is consistent with the approach of the CFTC for swaps, will be especially important in the smaller, less liquid credit SBS markets if and when a clearing determination has been made for one or more SBS. A block-trade exception for credit SBSs subject to the trade-execution requirement, provided that "block trade" is appropriately defined for those SBSs, can help ensure that large trades are not significantly more difficult and costly to execute because of the risks posed by information leakage and the potential for adverse price movement, which could significantly impair liquidity in the markets for those SBSs.

Accordingly, the adopted approach is preferable to the alternative.

6. Adopting Proposed Block Trade Definition Now

In finalizing Regulation SE, the Commission considered the alternative of adopting the proposed definition of "block trade" under Rule 802. For the third prong of the "block trade" definition, the Commission proposed that the SBS be based on a single credit instrument (or issuer of credit instruments) or a narrow-based index of credit instruments (or issuers of credit instruments) having a notional size of $5 million or greater.[1014]

[1013] *See* Bloomberg Letter, *supra* note 18, at 14.

[1014] *See* Proposing Release, *supra* note 1, 87 FR at 28896.

As discussed earlier,[1015] a number of commenters raise concerns that the proposed $5 million block-trade threshold for all credit SBSs would not be sufficiently tailored to the unique and varying trading and risk characteristics of the full range of credit SBS, creating the potential for the adverse market risks that commenters point out may arise from having a one-size-fits-all block threshold.

As discussed above, the Commission acknowledges these commenters' concerns. Further, unless and until the Commission has made a mandatory clearing determination regarding an SBS, it is not necessary to define a block-trade threshold for SBS, and it would be appropriate for the Commission to identify a block-trade threshold in the future after considering credit SBS transaction data and credit SBS markets at that time. In addition, the Commission agrees with commenters that additional consideration of credit SBS transaction data would help the Commission determine the appropriate block-trade threshold for credit SBS products, including whether different thresholds should apply to different types or groups of SBS. The Commission also agrees with commenters that the credit SBS markets are likely to evolve over time and that analysis of market data continues to be an important aspect of setting appropriate thresholds for both block trades and credit SBS public trade reporting.[1016]

Therefore, as discussed above, the Commission is not adopting the proposed definition of "block trade" under Proposed Rule 802, or any other block-trade threshold. Instead, the definition of "block trade" in Rule 802 will read "[reserved]." This would allow the Commission to identify a block-trade threshold in the future after considering credit SBS transaction data and

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1015 *See supra* section V.E.1(c)(ii) and Citadel Letter, *supra* note 18, at 9; ICI Letter, *supra* note 18, at 10–12; MFA Letter, *supra* note 18, at 5–8; SIFMA AMG Letter, *supra* note 18, at 10; ISDA-SIFMA Letter, *supra* note 18, at 7–9.

1016 *See supra* note 219.

the evolution of the credit SBS markets. In light of the above, the adopted approach is preferable to the alternative.

7. Block Trade Definition for Equity SBS

In finalizing Regulation SE, the Commission considered the alternative of adopting a definition of "block trade" applicable to equity SBS. One commenter suggests that the alternative would facilitate timely and efficient executions of equity SBS thereby supporting risk management activities, encourage the use of equity SBS for legitimate business purposes, including hedging, and facilitate capital formation.[1017] Another commenter argues that the alternative would avoid information leakage regarding a market participant's investment strategies.[1018]

The Commission acknowledges that the alternative could have beneficial effects as suggested by the commenters. However, as discussed in section V.E.1(c)(iii), an inappropriate block trade threshold for equity SBSs could create incentives for market participants to trade equity SBS over cash equities, listed equity options, and equity swaps. The Commission is concerned, in particular, that a shift in trading activity away from cash equities and listed equity options towards equity SBS could generate several adverse effects. First, such a shift in trading activity could reduce participation in the cash equities and listed equity options markets, including participation by liquidity providers. Reduced participation by liquidity providers could reduce competition in liquidity provision in these markets, which in turn could increase trading costs and decrease liquidity. Trading in these markets could become less efficient because of increased trading costs and decreased liquidity. Second, to the extent that trading becomes more

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[1017] See MFA Letter, supra note 18, at 6–7.

[1018] *See* ICI Letter, *supra* note 18, at 12–13.

costly in the cash equities and listed equity options markets, trading in these markets could be reduced, which could impede the incorporation of new information into the prices of cash equities and listed equity options through trading. This in turn could reduce price efficiency in the cash equities and listed equity options markets. Third, decreased liquidity in the cash equities market could raise the cost of capital for cash equities,[1019] which in turn could discourage firms from issuing cash equity securities to finance investment projects and reduce capital formation.

The adopted approach may nevertheless generate the beneficial effects suggested by the commenters. Regulation SE would increase pre-trade price transparency and competition in liquidity provision, which could decrease the spread in quoted prices and lead to higher efficiency in the trading of SBS.[1020] In addition, the automation and systems development associated with the regulation of SBSEFs could provide SBS market participants with new platforms and tools to execute and process transactions in SBS more rapidly and at a lower expense per transaction. Such increased efficiency could enable members of the SBSEF to handle increased volumes of SBS with greater efficiency and timeliness.[1021] Further, increased competition among third-party service providers, as a result of Rules 819(c) and 819(e), could lower SBSEFs' costs and bring about greater efficiency in their operation and SBS trading.[1022]

As discussed in section XVII.D.2, Regulation SE could improve regulatory oversight, market integrity, and market predictability, which could lead to the greater use of SBS (including

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1019 *See*, *e.g.*, Viral V. Acharya and Lasse Heje Pedersen, *Asset Pricing With Liquidity Risk*, 77 J. Fin. Econ. 375 (2005) and Yakov Amihud, *Illiquidity and Stock Returns: Cross-Section and Time-Series Effects*, 5 J. Fin. Markets 31 (2002) (suggesting that the expected return of a stock, or cash equity security, increases as its liquidity decreases. To the extent that a cash equity security's expected return measures the cost of capital associated with cash equity financing, the cited research suggests that when a cash equity security's liquidity decreases, its cost of capital may increase.).

1020 *See supra* section XVII.D.3.

1021 *Id.*

1022 *Id.*

equity SBS) and promote capital formation. Also, by reducing the risk of trading disruptions on SBSEFs, Rules 829 and 830 could increase market participants' confidence in the soundness of SBSEFs, which in turn could lead to the greater use of SBS traded on SBSEFs thereby promoting capital formation.[1023]

Regulation SE would address concerns about information leakage in various ways. First, pursuant to Rule 815(c)(2), an SBSEF may offer any execution method for Permitted Transactions. Thus, a market participant engaging in a Permitted Transaction (e.g., a large trade in equity SBS) may choose to use an execution method that reveals the desired, or at least preferred, amount of information about trading interest. Second, pursuant to Rule 815(a)(2), an SBSEF will be required to offer two execution methods for Required Transactions (limit order book and RFQ-to-3). Thus, market participants have flexibility in the degree of pre-trade transparency they wish to employ, which should attenuate potential concerns associated with revealing too much information about trading interest.[1024]

In addition, until the Commission has made a clearing determination with respect to equity SBS, equity SBS will be able to trade OTC, just as their underlying cash equities can trade OTC. Moreover, before making a clearing determination for an equity SBS—which would create the circumstances in which equity SBS might be MAT and therefore subject to the trade-execution requirement—the Commission would have the opportunity to solicit and consider additional public comment on the effect of such a determination, including comment with respect to the concerns commenters have raised to date regarding, among other things, timely and efficient executions, hedging, and capital formation.

1023 *See supra* section XVII.D.2.

1024 *See supra* sections XVII.D.3 and XVII.C.1 (discussing the different degrees of pre-trade transparency associated with limit order book and RFQ-to-3).

In light of the above, the adopted approach is preferable to the alternative.

8. Alternatives to Rule 833

In finalizing Rule 833, the Commission considered alternative approaches suggested by commenters. Four commenters suggest that the Commission grant automatic exemptions for foreign trading venues that are currently exempt under the CFTC's rules.[1025] One commenter suggests the Commission grant an exemption from the trade execution requirement if the SBS transaction at issue is subject to mandatory trading in another jurisdiction.[1026]

With respect to these alternatives, the Commission is concerned that granting automatic exemptions would not afford the Commission the opportunity to appropriately consider the relevant facts and circumstances in support of a finding that an exemption is necessary or appropriate in the public interest and consistent with the protection of investors. Further, to the extent that there are certain CFTC exempt foreign trading venues that do not intend to offer trading in SBS, it is unclear how the Commission's granting of an automatic exemption to these venues would benefit market participants that wish to trade SBS on regulated platforms. In light of the above, the adopted approach is preferable to these alternatives.

9. Alternatives From Proposal

The Commission also considered certain alternatives discussed in the Proposing Release: (1) not harmonizing Regulation SE with analogous CFTC rules; (2) harmonizing the third prong of the definition of "block trade" with the third prong of the CFTC definition of "block trade"; (3) requiring SBSEFs to submit the information in the Daily Market Data Report directly to the Commission; (4) requiring an exemption order under Rule 833(a) to apply to a foreign trading

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1025 *See* Bloomberg Letter, *supra* note 18, at 7, 18; ICE Letter, *supra* note 18, at 5; ISDA-SIFMA Letter, *supra* note 18, at 15; Tradeweb Letter, *supra* note 18, at 6.

1026 ISDA-SIFMA Letter, *supra* note 18, at 15.

venue only if it traded SBS and no other types of securities; (5) applying the revocation provisions of Rule 3a1-1(b) to SBSEFs and clearing agencies that are covered by paragraphs (a)(4) and (a)(5), respectively of Rule 3a1-1; and (6) not exempting SBSEF-Bs from section 17(a) of the SEA.[1027] With respect to the alternative of not harmonizing Regulation SE with analogous CFTC rules, commenters generally agreed with the Commission's approach vis-à-vis this alternative. The Commission did not receive comments addressing the other alternatives and continues to believe that its approach with respect to these alternatives is appropriate, and believes the rules as adopted are preferable to these alternatives.

10. Structured Disclosure Alternative

The Commission also considered the alternative of requiring, as proposed, Inline XBRL for all SBSEF filings other than Daily Market Data Reports under Rule 825. However, limiting the scope of Inline XBRL requirements under Regulation SE will ease compliance burdens for SBSEFs while maintaining a significant level of machine-readability for SBSEF data available to market participants and public data users as well as Commission staff. Some of the disclosures proposed with Inline XBRL structuring will still be structured in the final rule, but with a custom XML requirement rather than an Inline XBRL requirement. This will allow SBSEFs to, at their option, input those disclosures into fillable web forms rather than structure the disclosures in the custom XML data language themselves, thereby providing greater flexibility to SBSEFs and potentially easing compliance burdens. For copies of existing documents attached to Form SBSEF, and for rule and product filings that were proposed with an Inline XBRL requirement will instead be filed in unstructured formats. Given the reduced compliance burdens on SBSEFs

[1027] *See* Proposing Release, *supra* note 1, 87 FR at 28956–57.